

The Board of Directors is pleased to announce the Un-audited results of the Group and the Bank for the Period ended 31 March 2023

I STATEMENT OF FINANCIAL POSITION

		GROUP			KINGDOM BANK			CO-OP BANK		
		31-Mar-23 KSHS.'000 (Un-audited)	31-Dec-22 KSHS.'000 Audited	31-Mar-22 KSHS.'000 (Un-audited)	31-Mar-23 KSHS.'000 (Un-audited)	31-Dec-22 KSHS.'000 Audited	31-Mar-22 KSHS.'000 (Un-audited)	31-Mar-23 KSHS.'000 (Un-audited)	31-Dec-22 KSHS.'000 Audited	31-Mar-22 KSHS.'000 (Un-audited)
A	ASSETS									
1	Cash (local and foreign)	11,532,744	9,011,687	10,456,019	542,912	332,958	340,423	7,748,245	7,802,190	6,896,706
2	Balances due from Central Bank Of Kenya	15,717,375	19,094,602	17,147,200	621,712	686,559	220,353	15,095,662	16,505,270	16,926,847
3	Kenya Government and other securities held for dealing purposes	-	-	-	-	-	-	-	-	-
4	Financial Assets at Fair Value through profit and loss(FVTPL)	-	-	-	-	-	-	-	-	-
5.a.a	Investment Securities: Held to Maturity- Kenya Government Securities	80,664,280	73,317,138	75,778,680	7,583,296	7,583,296	885,746	73,080,984	65,733,842	74,892,934
a.b	Investment Securities: Held to Maturity- Other Securities	-	-	-	-	-	-	-	-	-
b.a	Investment Securities: Available for Sale- Kenya Government Securities	98,567,565	99,963,950	107,583,867	15,240,978	16,582,711	23,510,426	83,326,586	83,381,239	84,073,442
b.b	Investment Securities: Available for Sale- Other Securities	1,811,568	1,871,681	1,675,148	-	-	-	1,795,888	1,795,981	1,657,868
6	Deposits and balances due from local banking institutions	14,321,242	6,945,131	11,295,133	188,413	19,088	15,765	11,636,500	3,796,376	9,664,958
7	Deposits and balances due from banking institutions abroad	4,091,558	3,027,129	2,804,249	61,684	4,862	71,410	4,067,002	3,040,487	3,348,780
8	Tax recoverable	109	330,854	32,274	109	109	109	-	326,217	-
9	Loans and advances to customers (net)	360,105,869	339,390,039	324,483,412	7,152,895	6,205,715	4,645,126	350,672,443	331,323,038	318,646,679
10	Balances due from banking institutions in the group	-	-	-	-	-	-	-	-	-
11	Investments in associates	2,611,721	2,483,303	2,298,381	12,640	12,640	13,215	706,444	706,444	706,444
12	Investments in subsidiary companies	-	-	-	6,039	6,039	6,139	3,884,925	3,884,925	3,884,925
13	Investment in joint ventures	-	-	-	-	-	-	-	-	-
14	Investment in properties	-	-	-	-	-	-	-	-	-
15	Property, plant and equipment	8,228,966	9,287,971	8,573,681	998,441	1,002,571	965,850	6,763,490	7,939,447	7,285,851
16	Prepaid lease rentals	32,541	32,693	33,150	-	-	-	32,541	32,693	33,150
17	Intangible assets	7,518,001	5,987,191	6,822,712	95,688	91,277	37,440	4,078,044	2,539,611	3,438,050
18	Deferred tax asset	6,679,414	6,044,575	5,746,502	351,903	351,903	225,507	6,088,700	5,643,960	5,384,158
19	Retirement benefit asset	-	-	-	-	-	-	-	-	-
20	Other assets	19,183,000	30,409,775	22,255,177	1,337,914	1,780,167	1,072,324	16,948,952	27,630,771	20,588,409
21	TOTAL ASSETS	631,065,950	607,197,718	596,985,586	34,194,624	34,659,895	32,009,833	585,926,405	562,082,490	557,429,201
B	LIABILITIES									
22	Balances due to Central Bank Of Kenya	-	-	-	1,413,531	1,419,804	1,685,565	-	-	-
23	Customer deposits	419,755,245	423,802,668	410,825,409	9,812,543	9,641,403	6,897,305	405,796,203	410,187,854	400,861,722
24	Deposits and balances due to local banking institutions	17,422,114	1,087,501	5,729,920	-	-	-	17,422,114	981,637	5,729,920
25	Deposits and balances due to banking institutions abroad	4,344,746	-	631,158	-	-	-	4,117,116	-	1,017,195
26	Other money market deposits	-	-	-	-	-	-	-	-	-
27	Borrowed funds	48,394,395	48,102,072	43,279,164	20,411,443	21,429,882	21,102,121	26,161,454	24,884,464	20,662,410
28	Balances due to banking institutions in the group	-	-	-	-	-	-	-	-	-
29	Tax payable	1,994,563	-	3,056,176	-	-	-	1,867,720	-	2,886,376
30	Dividends payable	-	-	-	-	-	-	-	-	-
31	Deferred tax liability	-	-	5,205	-	-	-	-	-	-
32	Retirement benefit liability	-	-	-	-	-	-	-	-	-
33	Other liabilities	26,275,561	26,258,295	30,361,262	367,326	351,134	842,442	25,071,230	24,768,174	28,913,131
34	TOTAL LIABILITIES	518,186,624	499,250,536	493,888,294	32,004,842	32,842,223	30,527,433	480,435,836	460,822,129	460,070,754
C	SHAREHOLDERS' FUNDS									
35	Paid up/Assigned capital	5,867,180	5,867,180	5,867,180	1,867,947	1,867,947	1,867,947	5,867,180	5,867,180	5,867,180
36	Share premium/(discount)	1,911,925	1,911,925	1,911,925	3,087,449	3,087,449	3,087,449	1,911,925	1,911,925	1,911,925
37	Revaluation reserve	1,549,437	1,655,718	1,360,457	-	-	-	1,470,573	1,470,573	1,281,592
38	Retained earnings/ Accumulated losses	103,781,254	97,685,796	90,074,475	(1,895,550)	(2,151,804)	(3,572,744)	95,702,270	90,218,038	84,683,804
39	Statutory Loan Loss Reserve	70,305	67,286	640,521	-	-	692,878	-	-	-
40	Other Reserves	(9,754,854)	(8,698,411)	(3,426,006)	(870,064)	(985,920)	(593,130)	(8,645,519)	(7,396,113)	(2,655,079)
41	Proposed dividends	8,800,770	8,800,770	5,867,180	-	-	-	8,800,770	8,800,770	5,867,180
42	Total	383,369	387,987	401,844	-	-	-	383,369	387,987	401,844
43	TOTAL SHAREHOLDERS' FUNDS	112,609,387	107,678,252	102,697,576	2,189,782	1,817,672	1,482,400	105,490,569	101,260,360	97,358,447
43.1	Non-Controlling Interest	269,940	268,930	399,718	-	-	-	-	-	-
44	TOTAL LIABILITIES & SHAREHOLDERS' FUNDS	631,065,950	607,197,718	596,985,586	34,194,624	34,659,895	32,009,833	585,926,405	562,082,490	557,429,201
II	STATEMENT OF COMPREHENSIVE INCOME									
		31-Mar-23 KSHS.'000 (Un-audited)	31-Dec-22 KSHS.'000 Audited	31-Mar-22 KSHS.'000 (Un-audited)	31-Mar-23 KSHS.'000 (Un-audited)	31-Dec-22 KSHS.'000 Audited	31-Mar-22 KSHS.'000 (Un-audited)	31-Mar-23 KSHS.'000 (Un-audited)	31-Dec-22 KSHS.'000 Audited	31-Mar-22 KSHS.'000 (Un-audited)
1.0	INTEREST INCOME									
1.1	Loans and advances	10,020,829	40,406,912	8,976,011	182,436	407,797	67,228	9,757,199	39,782,411	8,835,959
1.2	Government securities	5,131,145	20,868,011	4,942,575	678,704	2,868,338	686,564	4,452,441	17,999,673	4,256,010
1.3	Deposits and placements with banking Institutions	418,368	471,201	82,641	2,004	8,024	1,735	48,007	242,747	47,373
1.4	Other Interest Income	-	-	-	-	1,306	-	-	-	-
1.5	Total Interest Income	15,570,342	61,746,124	14,001,227	863,144	3,285,466	755,528	14,257,647	58,024,831	13,139,343
2.0	INTEREST EXPENSE									
2.1	Customer deposits	3,945,813	14,409,155	3,275,431	168,388	572,774	111,762	3,774,888	13,831,926	3,162,463
2.2	Deposits and placements from banking institutions	90,581	428,934	5,894	9,876	2,748	183	80,705	426,186	5,711
2.3	Other Interest Expenses	761,399	1,383,093	347,266	4,696	22,769	6,522	752,008	1,327,316	340,744
2.4	Total Interest Expenses	4,797,794	16,221,183	3,628,590	182,960	598,291	118,467	4,607,601	15,585,429	3,508,918
3	NET INTEREST INCOME/(LOSS)	10,772,549	45,524,941	10,372,637	680,184	2,687,174	637,061	9,650,045	42,439,402	9,630,425
4	NON- INTEREST INCOME									
4.1	Fees and commissions on loans and advances	3,389,850	7,516,297	2,589,534	35,550	85,148	10,312	3,354,300	6,997,676	2,579,222
4.2	Other Fees and commissions	2,497,700	12,563,042	2,777,342	36,560	107,983	25,759	2,091,900	10,825,331	2,139,038
4.3	Foreign exchange trading income/(loss)	1,103,458	4,717,290	766,774	36,595	43,394	6,719	1,001,179	4,551,793	746,970
4.4	Dividend income	333	1,444	1,496	-	-	-	-	1,444	-
4.5	Other income	107,649	931,861	273,337	300	71,648	1,280	61,970	521,382	224,265
4.6	Total Non-interest income	7,098,990	25,729,934	6,408,483	109,005	308,172	44,070	6,509,349	22,897,626	5,689,494
5.0	TOTAL OPERATING INCOME	17,871,538	71,254,875	16,781,120	789,189	2,995,347	681,131	16,159,394	65,337,029	15,319,919
6.0	OTHER OPERATING EXPENSES									
6.1	Loan loss provision	1,532,442	8,676,736	1,543,877	12,071	462,981	24,884	1,520,070	8,091,695	1,499,967
6.2	Staff costs	3,960,762	14,782,534	3,510,928	183,380	507,646	169,316	3,583,648	13,647,798	3,168,401

		GROUP			KINGDOM BANK			CO-OP BANK		
		31-Mar-23	31-Dec-22	31-Mar-22	31-Mar-23	31-Dec-22	31-Mar-22	31-Mar-23	31-Dec-22	31-Mar-22
		KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000	KSHS.'000
		(Un-audited)	Audited	(Un-audited)	(Un-audited)	Audited	(Un-audited)	(Un-audited)	Audited	(Un-audited)
6.3	Directors' emoluments	29,491	235,729	21,749	2,560	8,787	2,141	13,724	177,448	7,665
6.4	Rentals charges	278,133	888,039	249,848	10,619	41,759	8,596	257,639	820,111	212,326
6.5	Depreciation charge on property and equipment	598,214	2,356,828	637,704	12,602	45,486	10,332	552,417	2,186,526	532,709
6.6	Amortisation charges	215,000	805,835	189,592	5,055	26,446	5,025	207,091	771,253	182,453
6.7	Other operating expenses	3,201,428	14,498,092	2,870,357	306,647	1,098,468	261,563	2,546,435	12,770,455	2,575,275
6.8	Total other operating expenses	9,815,469	42,243,793	9,024,056	532,934	2,191,574	481,857	8,681,024	38,465,287	8,178,798
7	Profit/(Loss) before tax and exceptional items	8,056,070	29,011,082	7,757,064	256,255	803,773	199,274	7,478,370	26,871,741	7,141,121
8	Exceptional items-Early Retirement Costs	-	-	-	-	-	-	-	-	-
8	Exceptional items-Share of profit of associate	93,082	416,141	32,113	-	-	-	-	-	-
9	Profit/(Loss) before tax	8,149,152	29,427,223	7,789,177	256,255	803,773	199,274	7,478,370	26,871,741	7,141,121
10	Current tax	2,360,448	8,296,906	2,260,931	-	-	-	2,243,797	7,880,725	2,142,336
11	Deferred tax	(322,051)	(907,851)	(306,976)	-	(126,396)	-	(249,659)	(644,606)	(301,836)
12	Profit/(Loss) after tax and exceptional items	6,110,756	22,038,168	5,835,223	256,255	930,169	199,274	5,484,232	19,635,622	5,300,621
13.0	OTHER COMPREHENSIVE INCOME:									
13.1	Gains/(Losses) from translating the financial statements of foreign operations	-	-	-	-	-	-	-	-	-
13.2	Fair value changes in available-for-sale financial assets	(2,119,390)	(8,605,319)	(3,461,275)	(870,064)	(996,589)	(603,799)	(1,249,405)	(7,598,110)	(2,857,076)
13.3	Revaluation Surplus on property, Plant and Equipment	-	188,981	-	-	-	-	-	188,981	-
13.4	Share of other comprehensive income of associates	-	(176,954)	-	-	-	-	-	-	-
13.5	Income tax relating to components of other comprehensive income	-	-	-	-	-	-	-	-	-
14	OTHER COMPREHENSIVE INCOME NET OF TAX	(2,119,390)	(8,593,292)	(3,461,275)	(870,064)	(996,589)	(603,799)	(1,249,405)	(7,409,129)	(2,857,076)
15	TOTAL COMPREHENSIVE INCOME	3,991,366	13,444,876	2,373,948	(613,810)	(66,420)	(404,525)	4,234,827	12,226,494	2,443,545
	Basic Earnings per share	1.04	3.72	0.99	-	-	-	0.93	3.35	0.90
	Diluted Earnings per share	1.04	3.72	0.99	-	-	-	0.93	3.35	0.90
	Dividend per share	-	1.50	-	-	-	-	-	1.50	-
III	OTHER DISCLOSURES									
1	NON PERFORMING LOANS AND ADVANCES									
a)	Gross non-performing loans and advances	55,683,664	52,332,306	49,461,265	4,371,958	4,511,773	6,348,369	50,935,179	47,479,845	42,696,318
b)	Less									
c)	Interest in suspense	6,221,989	5,685,557	6,228,365	1,033,500	1,082,430	1,734,906	5,153,766	4,552,693	4,441,734
d)	Total Non-performing loans and advances (a-b)	49,461,675	46,646,749	43,232,900	3,338,458	3,429,343	4,613,463	45,781,413	42,927,152	38,254,584
e)	Less									
f)	Loan loss provisions	28,407,152	28,408,618	26,074,145	1,907,883	1,866,317	2,661,456	26,283,583	26,328,854	23,241,536
g)	Net Non performing loans (c-d)	21,054,523	18,238,131	17,158,754	1,430,575	1,563,026	1,952,007	19,497,830	16,598,298	15,013,048
h)	Discounted Value of Securities	21,038,558	20,731,822	17,328,761	1,470,978	1,587,093	1,966,844	19,382,871	18,926,949	14,886,852
i)	Total NPLs Exposure (e-f)	15,965	2,493,691	(170,007)	(40,403)	(24,067)	(14,837)	114,959	(2,328,651)	126,196
2	Insider loans & advances									
a)	Directors, shareholders and associates	7,911,678	6,679,296	7,039,610	-	-	-	7,911,678	6,679,296	7,039,610
b)	Employees	12,536,313	12,353,751	11,761,067	168,126	149,424	103,101	12,359,296	12,204,327	11,655,929
c)	Total insider loans, advances & other facilities	20,447,991	19,033,046	18,800,677	168,126	149,424	103,101	20,270,974	18,883,622	18,695,540
3	Off-Balance Sheet Items									
a)	Letters of credit, guarantees, acceptances	34,873,520	40,013,222	46,517,271	367,228	367,528	621,172	34,492,114	39,645,694	45,857,103
b)	Forwards, swaps and options	1,290,695	10,073,270	6,955,409	1,824,970	1,304,970	1,203,500	(534,275)	8,768,300	5,751,909
c)	Other contingent liabilities	-	-	-	-	-	-	-	-	-
d)	Total contingent liabilities	36,164,215	50,086,492	53,472,679	2,192,198	1,672,498	1,824,672	33,957,839	48,413,994	51,609,012
4	Capital strength									
a)	Core capital	95,236,716	92,869,389	82,638,315	2,579,816	2,451,690	1,153,518	91,389,003	89,090,841	81,185,361
b)	Minimum Statutory Capital	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000	1,000,000
c)	Excess/(deficiency)	94,236,716	91,869,389	81,638,315	1,579,816	1,451,690	153,518	90,389,003	88,090,841	80,185,361
d)	Supplementary capital	5,349,824	5,965,737	6,806,125	-	-	692,878	5,330,108	5,919,451	6,786,409
e)	Total capital	100,586,540	98,835,126	89,444,440	2,579,816	2,451,690	1,846,396	96,719,111	95,010,292	87,971,770
f)	Total risk weighted assets	583,462,309	549,314,332	539,824,209	12,474,445	10,239,032	8,019,407	559,486,955	539,577,102	527,395,840
g)	Core capital/total deposit liabilities	22.7%	21.9%	19.8%	26.3%	25.4%	16.8%	21.5%	21.7%	19.9%
h)	Minimum Statutory Ratio	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%	8.0%
i)	Excess/(deficiency)	14.7%	13.9%	11.8%	18.3%	17.4%	8.8%	13.5%	13.7%	11.9%
j)	Core capital/total risk weighted assets	16.3%	16.9%	15.3%	20.7%	23.9%	14.4%	16.3%	16.5%	15.4%
k)	Minimum Statutory Ratio	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%	10.5%
l)	Excess/(deficiency)(j-k)	5.8%	6.4%	4.8%	10.2%	13.4%	3.9%	5.8%	6.0%	4.9%
m)	Total capital/total risk weighted assets	17.2%	18.0%	16.6%	20.7%	23.9%	23.0%	17.3%	17.6%	16.7%
n)	Minimum Statutory Ratio	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%	14.5%
o)	Excess/(deficiency)(m-n)	2.7%	3.5%	2.1%	6.2%	9.4%	8.5%	2.8%	3.1%	2.2%
p)	Adjusted Core Capital/ Total Deposit Liabilities	22.7%	21.9%	16.0%	-	-	16.8%	21.5%	21.7%	16.0%
q)	Adjusted Core Capital/ Total Risk Weighted Assets	16.3%	16.9%	12.3%	-	-	13.2%	16.3%	16.5%	12.3%
r)	Adjusted Total Capital/ Total Risk Weighted Assets	17.2%	18.0%	13.6%	-	-	21.2%	17.3%	17.6%	13.6%
5	Liquidity									
a)	Liquidity Ratio	50.6%	48.3%	54.1%	232.6%	246.7%	338.7%	42.2%	41.9%	46.4%
b)	Minimum Statutory Ratio	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%	20.0%
c)	Excess/(deficiency)(a-b)	30.6%	28.3%	34.1%	212.6%	226.7%	318.7%	22.2%	21.9%	26.4%

*The adjusted capital ratios include the expected credit loss provisions added back to capital in line with the CBK guidance note issued in April 2018 on implementation of IFRS9.

The financial statements were approved by the Directors on 17th May 2023 and signed on its behalf by:

Signed:

**Mr. John Murugu, OGW
Chairman**

Signed:

**Dr. Gideon Muriuki - CBS, MBS
Group Managing Director & CEO**



CO-OPERATIVE BANK
We are you

We are you

The Co-operative Bank is regulated by the Central Bank of Kenya